

The AI app era is here—and we're positioned early

American astronomer Carl Sagan nailed it when he said, *"It was easy to predict mass car ownership but hard to predict Walmart."*

Predicting every American would own a car was obvious. The real insight was recognizing how cars would change shopping—making it possible for people to buy cheap goods from superstores on the outskirts of town.

As investors, we follow the money.

Where did the fortunes end up? **Ford (F)** and **General Motors (GM)** built empires. But an even bigger winner riding the car wave was **Walmart (WMT)**:

In this month's issue

All great disruptions rhyme

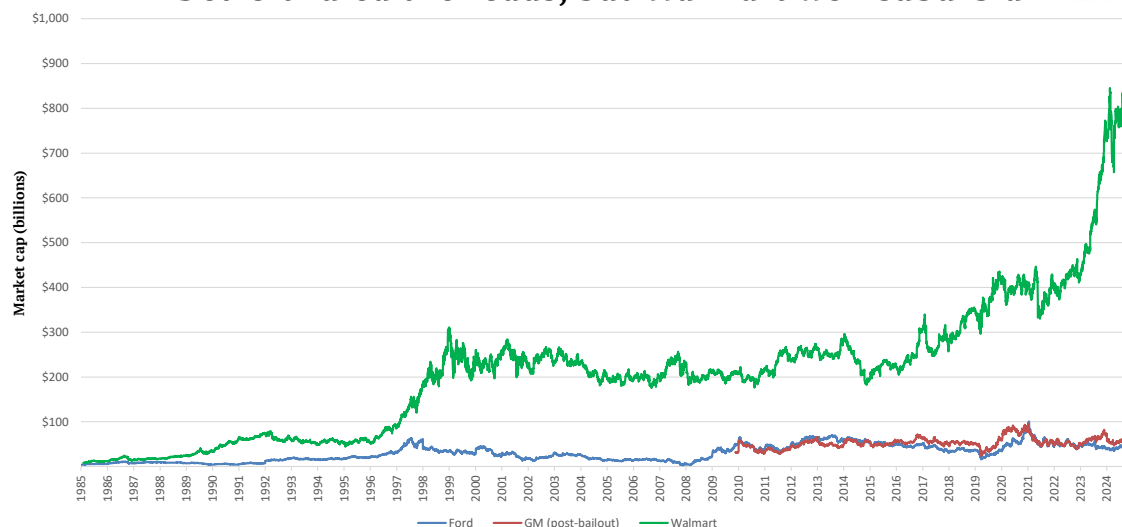
We're still bullish on the AI buildout

A review of the *Disruption_X* portfolio

October's "Best Buys"

Fastest-growing stocks in America

Detroit ruled the roads, but Walmart won suburbia



One of my pet peeves is when investors talk about “technology” as if it only means computers or software. Technology is just what’s new.

A century ago, cars were technology. They were also the “infrastructure” that enabled new businesses, like Walmart.

You can analyze today’s big disruptive megatrend, artificial intelligence (AI), through the same lens.

Everyone knows about the historic AI buildout. This year alone, big tech will plough more money into AI data centers than America spent putting a man on the moon.

As disruption investors, it’s our job to see the next big thing early.

We were early to the AI buildout, first recommending **Nvidia (NVDA)** in our *Disruption Investor* advisory in 2020. It paid and will keep paying.

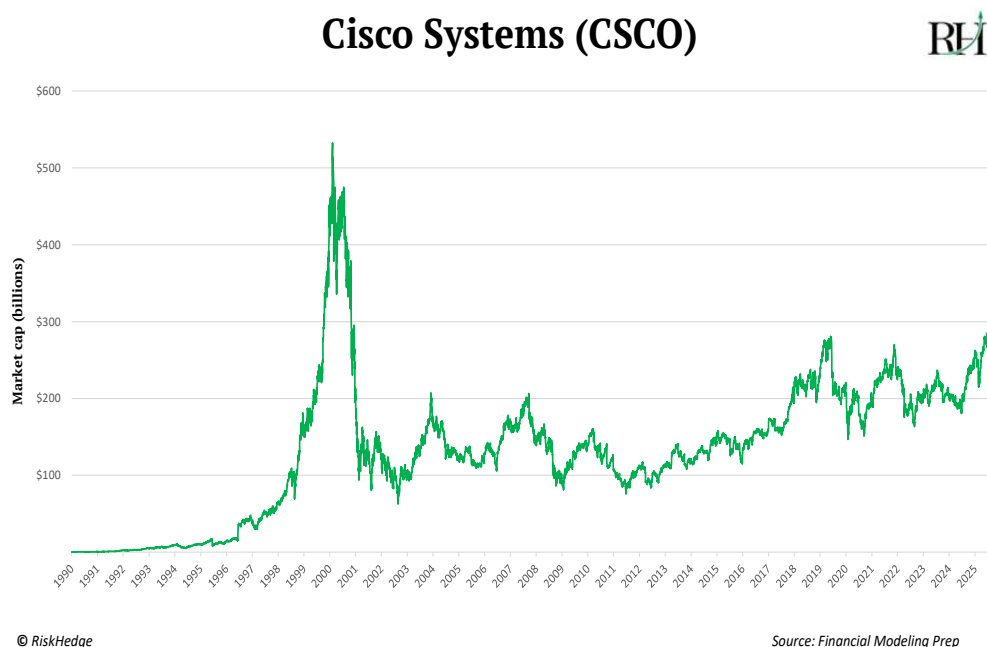
But the next 10-baggers likely won’t come from the pipes. It’ll come from businesses that use the pipes. We’re graduating from the AI infrastructure phase to the AI app era.

One important lesson you learn when you’ve studied disruption as long and as intensely as Chris and I have is... **all great disruptions rhyme.**

First you build the pipes. Then the world gets rewired by the apps that ride them.

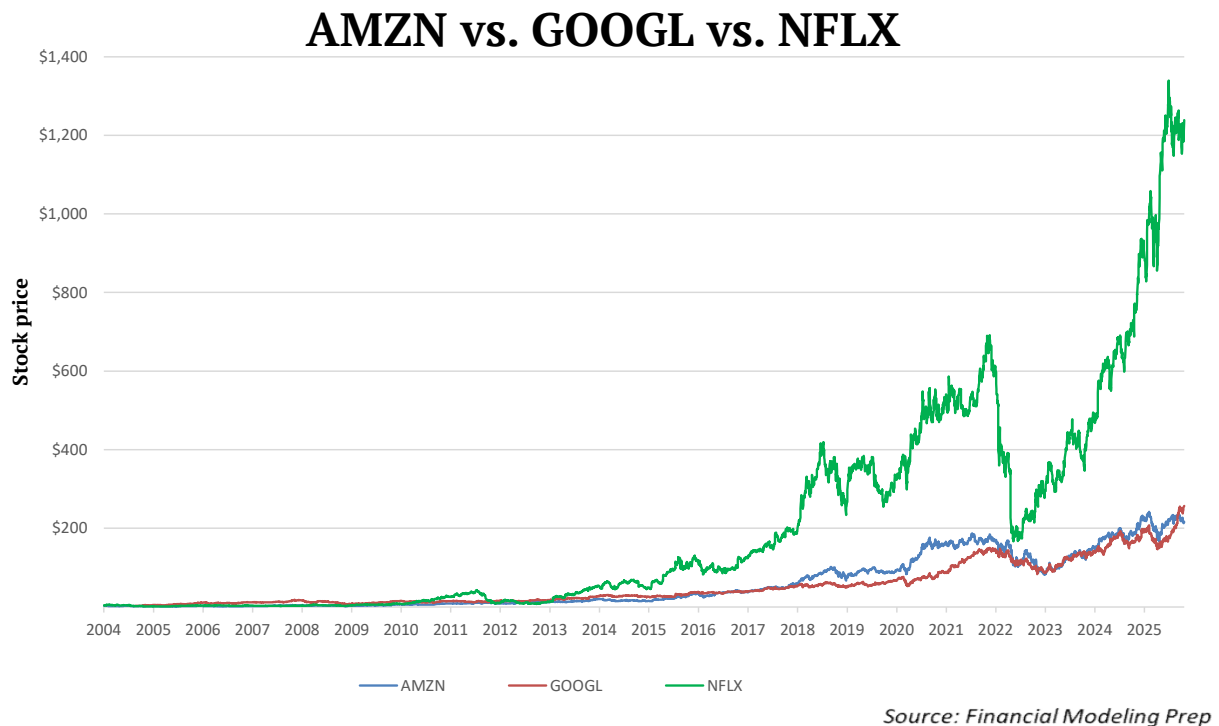
Take the dot-com boom, for example.

Cisco Systems (CSCO)—the maker of the internet’s plumbing—briefly became the most valuable company on Earth. It was the Nvidia of the '90s, the purest way to bet on the infrastructure.



But the real fortunes were minted after the digging stopped. **Google (GOOGL)** turned cheap bandwidth into an ad machine. **Amazon (AMZN)** turned it into one-click commerce. **Netflix (NFLX)** turned it into movie night.

Here are the profits those stocks handed out over the next two decades:



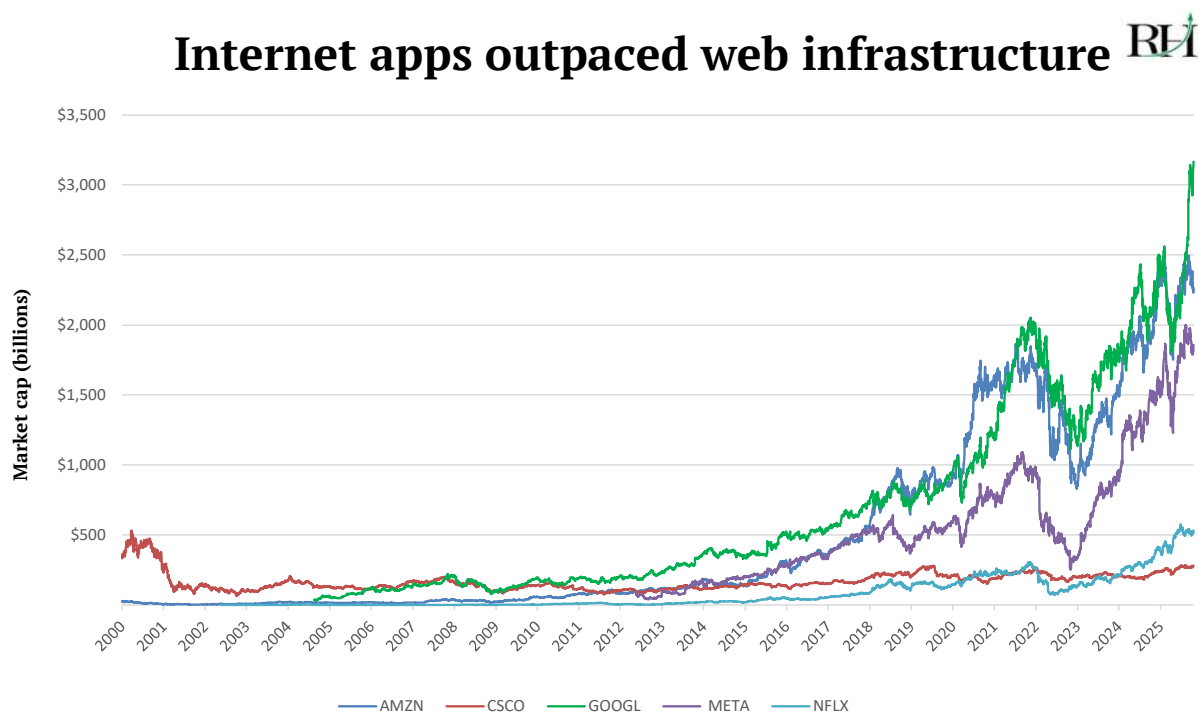
Cisco's switches and racks, along with millions of miles of fiber optic cables, made these internet "apps" possible. I distinctly remember the days of dial-up internet, when downloading a single song took 10 minutes.

Fast broadband transformed Netflix from a DVD mail order startup into a video-streaming giant. Netflix only pivoted in 2007, when broadband was finally fast and widespread enough to make streaming work.

In every disruptive megatrend, the infrastructure unlocks entirely new businesses that weren't possible before. The real money is made betting on those new "apps."

At its absolute peak in 2000, Cisco hit a \$530 billion valuation. Today, many popular internet businesses are worth multiples of that.

And unlike Cisco, they've stood the test of time:



© RiskHedge

Source: Financial Modeling Prep

“Stephen are you really using the dot-com boom to convince me to invest in AI? Haven’t you ever heard of the dot-com BUST?”

On their path to becoming trillion-dollar companies, even the best dot-coms like Amazon crashed 95%. We’ll eventually get an AI bubble. I’ve been investing long enough to know every “good thing” gets stretched too far.

But there are two reasons the AI buildout isn’t 1999 all over again:

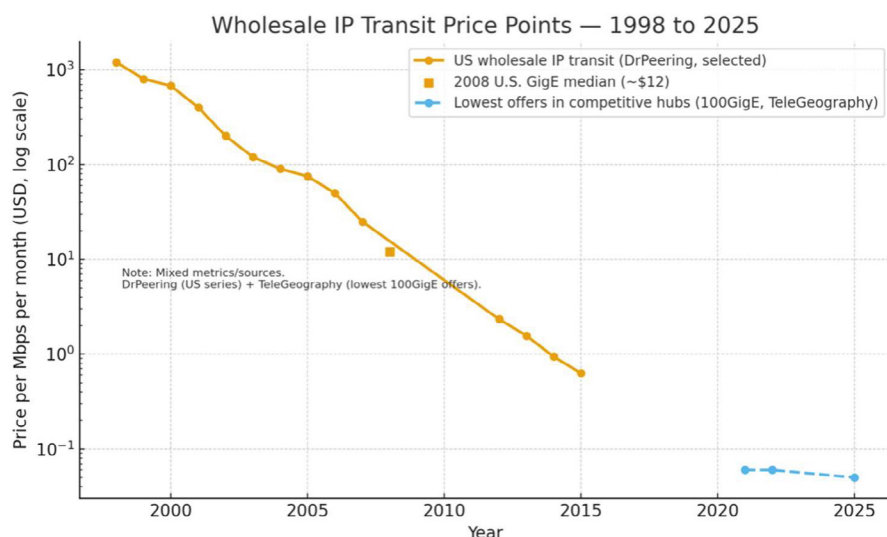
#1: In the 1990s, most of the companies laying fiber had zero profits and were loaded up to the eyeballs with debt. Today, the biggest AI spenders are also the largest and most cash-rich companies on Earth.

#2: During the dot-com boom, only 3% of the fiber laid was being used. This became known as “dark fiber.” Today, data center racks are sold out years before they’re up and running. In Wall Street speak, “utilization” is running at 95%+.

If we graded the “health” of the dot-com and AI buildouts, the difference is night and day.

But there is one similarity: Costs are plunging.

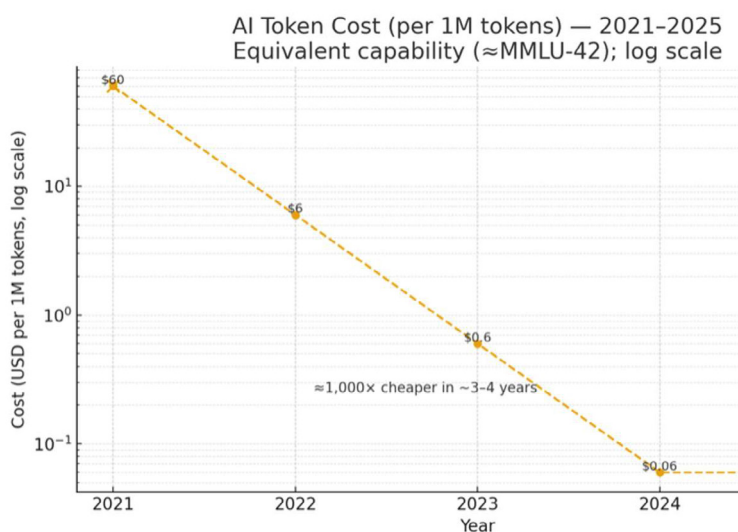
Back in 1998, sending data across the web was expensive. It cost roughly \$1,200 per megabit per month. Today, it's pennies. The cost of moving data through fiber has fallen by roughly 10,000X:



Source: ChatGPT

That's exactly what's happening with AI.

The cost to use AI—aka *inference*—is collapsing by about 10X every year. A task that cost \$60 per million tokens in 2021 costs about six cents today. Running an AI model like ChatGPT is now 1,000X cheaper than it was just three years ago!



Source: ChatGPT

Same curve, same opportunity.

In the 1990s, engineers figured out how to push more bits through the same fiber using tricks like new lasers and smarter routers. Today, AI engineers are learning to push more intelligence through the same hardware with better algorithms and more efficient chips.

We know when broadband got cheap enough, it unlocked new “apps” like YouTube, Netflix, and **Spotify (SPOT)**.

Now, we’re creating intelligence “too cheap to meter.” Popular AI companion app Character.AI serves roughly 20,000 queries/second and has been able to cut costs by 33X since 2022.

Cheap cognition will mint the Googles and Amazons of AI—companies that turn all this infrastructure into pure profit. The money is about to move up the stack.

A quick story before we move on...

In 2009, Travis Kalanick and Garrett Camp couldn’t get a cab on a rainy night in Paris.

Then, they had an idea. *“What if you could press a button on your phone and have a car pull up to take you anywhere you want to go?”*

Right place, right time. Over the next two years, the infrastructure needed to make **Uber’s (UBER)** ride-hailing possible was built out.

The iPhone 3G launched in 2008, giving millions of Americans a supercomputer with internet access in their pocket. The iPhone also had built-in GPS, so your phone could find you and the driver.

The App Store launched that same year, giving entrepreneurs a way to ship software to millions of consumers.

iPhone + mobile internet + App Store = the infrastructure. Uber was the app that ran through them and became a world-changing business.

I remember the first time I used Uber. It felt like pure magic. Hailing a cab used to mean standing near the curb waving your arm like a madman. Now, you just tap a button and a taxi appears!

Uber was just one of the world-changing businesses the mobile boom unlocked.

Meta Platforms (META) turned the phone camera into a global attention machine. Spotify made every song you’ve ever loved available anywhere. **Airbnb (ABNB)** let you sleep in a stranger’s home.

Each was impossible before the pipes existed. And each handed out life-changing profits to the investors who recognized these early disruptions.

This is how disruption unfolds. First, we build the infrastructure. Then the *apps emerge*. The biggest wealth shifts occur in that second phase.

We're still bullish on the AI buildout

How could you not be?

Over the next two to three years, big tech will pour more than \$1 trillion into AI data centers—modern factories where electricity goes in and intelligence comes out.

And just as the corporate wallets seemed bottomless, a new group of spenders showed up: governments. From London to Dubai to Delhi, nations are racing to build their own “sovereign AI factories.”

They missed the dot-com boom. Most missed mobile, too. Now, they're determined not to miss AI. That's where the next trillion dollars in infrastructure spending will come from.

That's why we're still riding the AI infrastructure wave with positions in **Credo Technology Group Holding Ltd. (CRDO)**, **Innodata (INOD)**, and **Digi Power X (DGXX)**.

But the next generation of 10-baggers won't come from the companies building the pipes. It'll come from the ones filling them: the Googles, Amazons, and Ubers of AI.

We're pivoting from “build the pipes” to “fill the pipes.” And we're early, very early.

You can tell because almost none of the true AI app leaders are public yet. They're still venture-backed startups. That's the earliest, most profitable stage of any disruption.

Even at this early stage, it's clear this new wave of AI app businesses is unlike anything we've ever seen. AI companies are scaling up and generating revenue faster than any group in the history of capitalism.

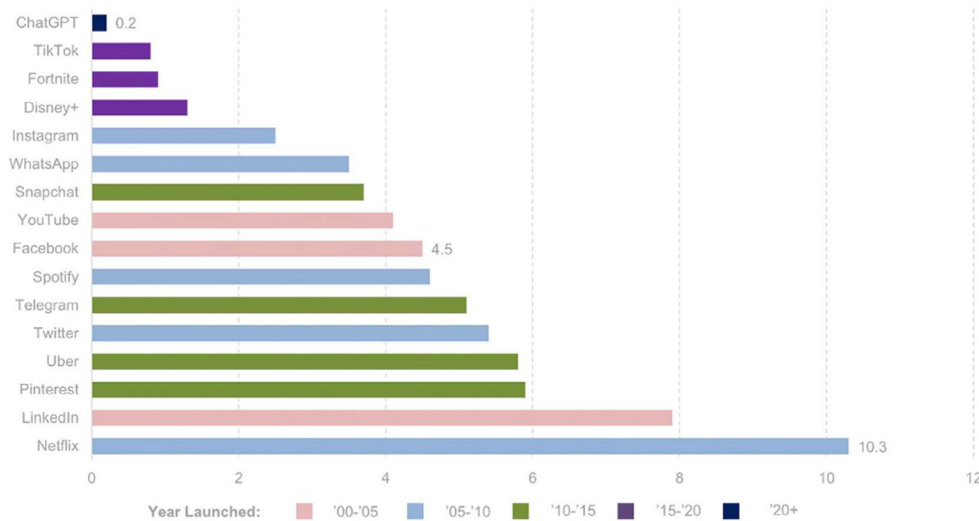
Ready for some charts?

Half a billion people now use Google's Gemini each month. Gemini is processing 1 quadrillion AI tokens every month. Each token is a tiny unit of work. Think the AI reading or writing on behalf of a user or an app.

The adoption of AI is already faster than the internet, faster than smartphones, faster than anything that came before it.

AI User Adoption (ChatGPT as Proxy) = Materially Faster vs. Internet Comparables...

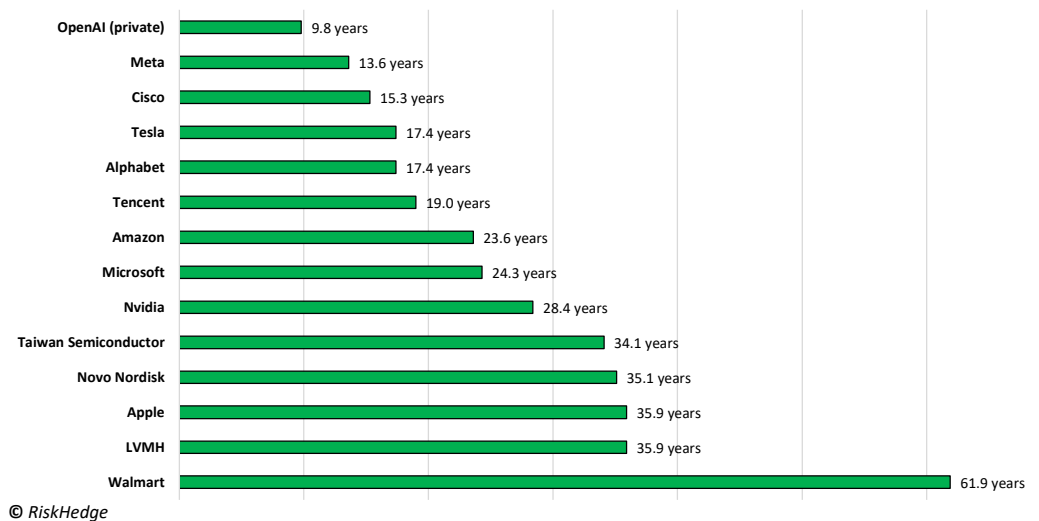
Years to Reach 100MM Users – 2000-2023



Source: Andrew Hogan on LinkedIn

ChatGPT creator OpenAI just became the fastest company in history to hit a \$500 billion valuation.

The fastest companies to reach \$500 billion



Across the top 100 AI apps using payments processor Stripe, average annualized revenue hit \$5 million within just 24 months.

That's a full year faster than the quickest-growing software companies in history.



Source: Stripe

And if that sounds fast, look at Cursor, the AI-powered coding assistant. It's sprinted to \$100 million in recurring revenue in just three years.

Bottom line: AI demand is exploding. Using AI is getting cheaper by the month. And when intelligence gets cheap, history tells us it unleashes new businesses everywhere.

Take pizza.

From 2005 to 2017, independent pizzerias in America were disappearing as the big franchises took over. But today, there are more independent pizzerias than ever before.

A startup called Slice built a platform designed just for small pizzerias. With a few clicks, a shop could get its own logo, website, payment system, online ordering, and branded boxes.

Software gave mom-and-pop shops the power of a national chain.

AI is this, but on steroids. Instead of clicking a button to get a website, you'll click a button and get a PhD-level researcher who works tirelessly, and nearly for free.

Anyone who thinks this isn't going to change the world simply isn't paying attention.

Here's our playbook as disruption investors...

Keep letting the AI infrastructure winners ride, while also investing in the best AI apps.

There are only a handful of true AI-native public companies today. **Tempus AI (TEM)** is almost a unicorn. It's one of the first examples of an AI-first business that couldn't have existed five years ago.

As we graduate into the AI app era, you'll be the first to hear about the most promising new opportunities we uncover.

Remember, we've seen this movie before.

In the dot-com era, Cisco was the infrastructure king. But the real fortunes were made when Google, Amazon, Meta, and Netflix turned cheap bandwidth into billion-dollar habits.

Today, GPUs, data centers, and memory are the pipes.

The next great fortunes will belong to the AI apps that turn intelligence into world-changing businesses.

A review of the *Disruption_X* portfolio

It's hard to believe we just launched *Disruption_X* about nine months ago.

So much has happened since then. And the pace of things is only accelerating.

I (Chris Wood) have been a researcher, analyst, and investor for 25 years, and I can say without hesitation that right now is the most exciting things have ever been... by far.

But every so often, it makes sense to take a step back and reflect on where we've been and how we've done. This helps us learn from what we got right and what we got wrong, making us better investors in the process.

That's what we're doing this month.

I'll take you through the highs, the lows, and the in-betweens we've experienced since we set out on this journey together.

Then, I'll highlight the three "Best Buys" in our portfolio—the stocks we think are positioned for the biggest profits in the months and years to come. If you're new to this service, these are the stocks we recommend buying first.

If you've been with us since the beginning, you may recall things started out a bit rocky.

After many months of research and planning with Stephen and our editor-in-chief Dan Steinhart, we were ecstatic to launch *Disruption_X* back in February.

We shot out of the gates with three stock recommendations that first month:

- Space equipment and technology provider **Redwire Corp. (RDW)**.
- High-speed connectivity solutions supplier Credo Technology Group.
- AI-powered warehouse automation tech company **Symbotic (SYM)**.

Our investment thesis for each was straightforward:

- Redwire is a key behind-the-scenes enabler of the exploding space economy. It supplies mission-critical technology and equipment for spacecraft. Stuff like avionics, cameras, sensors, power generation solutions, onboard computers, and communication systems.
The company also owns a spacecraft business and a long-range reconnaissance autonomous drone business—both of which serve the defense sector.
- Credo helps solve a big bottleneck in AI. It provides networking connectivity solutions that allow data centers to get the most out of their AI infrastructure (like Nvidia GPUs) by moving data around faster and more accurately while using less power at a lower cost.
Its Active Electrical Cables (AECs) have become a de facto industry standard for high-speed connectivity in AI data centers.
- Symbotic helps solve the massive warehouse worker shortage problem for big retailers (primarily Walmart today), while simultaneously allowing them to cut costs and generate more revenue.

Its AI-powered robotic automation systems operate more like a living organism than a traditional warehouse facility. Products flow continuously through the system, with robots working in perfect harmony to receive, store, retrieve, and ship goods. **Walmart's (WMT)** CFO says that when the company automates one of its massive regional distribution centers with Symbotic's technology, it sees "roughly twice the throughput with half the headcount."

But the market turned against us almost immediately.

Less than two months after launching this service, we were down 22.9% on SYM... 56.8% on CRDO... and 68.2% on RDW.

However, we were confident things would turn around for these stocks—after all, powerful megatrends and fundamentals were on our side. But we certainly didn't make the kind of first impression that we wanted to on our members.

Thankfully, things did turn around (for the most part) sooner rather than later.

SYM caught fire and gained more than 300% in the six-plus months following its early April lows. This allowed us to take our initial investment off the table with a [“Free Ride” in mid-July](#), but it still left us with more than half our position to ride further upside with essentially zero risk.

As I write, we’re up about 170% on SYM. And we expect even bigger gains a bit further down the road as Symbotic shrinks its installation time and leverages its new storage structure (introduced in August) to accelerate revenue growth and boost margins.

The time between the start of installation and when a new Symbotic system goes operational at customer acceptance has historically been about 12 months. But the company’s been able to shave about 20% off that with its most recent deployments.

And Symbotic’s new storage structure—with a more compact and modular design, 90% less on-site assembly parts, and lower deployment cost—will let it shave even more time off that. At the same time, it will allow customers to fit nearly twice as many products in the same space (or shrink their storage footprint by about 40%).

Meanwhile, Symbotic has a backlog of \$22.4 billion. That’s business that’s already been booked, with customers just waiting around until Symbotic can install the system. The faster the company can deploy its systems, the more of that backlog it can turn into revenue in a given year, so the faster its revenue growth rate.

In the past year, Symbotic’s revenue grew 36.4% year over year to \$2.2 billion, while gross profit margin increased from 12.9% to 17.9%.

Aside from a near-term revenue headwind—associated with a timing adjustment for several previously planned deployments to support the transition to the next-generation storage structure—which will impact the next three quarters or so, we expect even more robust revenue growth in the coming years. We also expect gross profit margin to increase to 30% over the next few years.

Action to take: Continue to hold Symbotic (SYM).

We saw a similar turnaround for Credo Technology’s stock in the six months or so following its early April lows. So we [took a “Free Ride” in mid-September](#) and still hold just over half of our initial position.

As I write, we’re up about 100% on CRDO. Meanwhile, demand for Credo’s ultra-reliable, low power, high-speed connectivity solutions continues to ramp up as hyperscalers and other data center operators accelerate their investment in AI infrastructure—and the company’s customer base continues to broaden.

In early September, Credo reported a record \$223.1 million in revenue for Q1 of fiscal 2026—reflecting monster year-over-year growth of 273.6%. The company’s \$63.4 million in net income was also a quarterly record.

In the past year, Credo generated \$600.14 million, up 175.8% from the previous year. Gross profit margin jumped from 57.3% to 65.2% over the same period. And the company went from taking a net loss of \$26.2 million (or \$0.16 per share) to producing positive net income of \$125.1 million (or \$0.68 per share).

For its full fiscal year of 2026, Credo expects revenue growth of about 120% year over year. And over the medium and long term, CEO Bill Brennan sees “multiple waves of growth opportunities, fueled by the evolving scale-out and scale-up networks and next-generation training and inference architectures.”

We agree.

Action to take: Continue to hold Credo Technology Group Holding Ltd. (CRDO).

Initially, we saw a similar turnaround for Redwire’s stock, too. But it’s been on a downward trend since briefly breaking above \$20 per share in mid-June. And it’s trading just above \$8 per share today.

As I write, we’re down about 66% on RDW. We’re confident Redwire will eventually bounce back like Symbotic and Credo did, but the stock’s recent underperformance is understandable.

When we bought into Redwire, it was growing annual revenue at a rapid clip north of 27%. But in the past year, revenue didn’t grow at all. In fact, it declined 10.5% year over year.

The company’s most recently reported quarterly results—which prompted a 31% selloff in August—appeared particularly weak:

- Q2 revenue of \$61.8 million decreased 20.9% year over year and missed Wall Street’s estimate by \$18.72 million.
- The net loss per share of \$1.41 in Q2 was \$1.24 larger than analysts expected.

The good news is that these results had nothing to do with lost business or operational problems. Redwire only missed Wall Street’s estimates because of:

- Delays in US government budgeting processes.
- Non-cash and non-recurring costs related to the acquisition of Edge Autonomy.
- A technical challenge with one of the company’s many development programs that resulted in an accounting adjustment.

What’s more, Redwire’s business is naturally “lumpy.” Because the bulk of its business comes from big, complex, multi-year contracts, the amount of revenue the company recognizes in a given period can fluctuate a lot on a sequential and year-over-year basis.

When you get past the headline numbers and understand a bit of context, there's a lot to like about what Redwire's accomplished recently.

Here's a quick summary of some accomplishments:

- The company's wholly owned Edge Autonomy subsidiary was awarded a prototype phase agreement for its Stalker system under the US Army's Long Range Reconnaissance program of record.
- Edge Autonomy was also awarded a contract from an undisclosed European NATO country to deliver its Stalker Group 2 fixed wing uncrewed aerial system (UAS) to perform long-range reconnaissance and intelligence gathering.
- Redwire inked a deal with commercial space infrastructure leader Axiom Space to develop and deliver roll-out solar array (ROSA) wings for Axiom Station's Payload Power Thermal Module—the first module for the company's commercial space station.
- Redwire reported it's on track to deliver the most powerful ROSAs ever built to the satellite and space systems company Maxar in the fourth quarter of this year.

Bottom line: We think strong revenue growth will return in the coming quarters, and the stock should benefit handsomely.

Action to take: Buy Redwire (RDW) at current market prices.

Since those first three picks—SYM, CRDO, and RDW—we've taken positions in six more stocks: **Nano Dimension Ltd. (NNDM)**, **SiTime Corp. (SITM)**, **Evolv Technologies Holdings (EVLV)**, Innodata, Digi Power X, and Tempus AI.

Innodata is the hidden hero providing the high-quality “teaching materials” for AI.

When we first wrote about INOD, we recommended buying one-third of a full position to start. The plan was to buy two more tranches (each one-third of a full position) on expected weakness.

But that weakness never came. Instead, the stock took off like a rocket in September, and we capitalized on that by [selling 45% of our position to take a “Free Ride.”](#)

As I write, we're up about 117% on INOD.

At least one subscriber who emailed us wasn't happy with our decision to take a “Free Ride” on INOD. He was upset because we only owned one-third of a position and he thought we should be buying into the stock's strength rather than taking some profits off the table on a relatively small position.

We completely understand his take. Things didn't go exactly as planned. But we stand by our decision. We thought the stock had gotten ahead of itself. And we're never going to apologize for taking profits and reducing risk.

Action to take: Continue to hold Innodata (INOD).

Nano Dimension is a 3D printing company best known for its patented additively manufactured electronics (AME) technology, which can “print” fully functional, high-performance electronic devices—like 5G antennas, vertically stacked integrated circuits, and access points for WiFi and Internet of Things devices—and complex printed circuit boards.

In addition to Nano’s AME tech, what made the company appealing was its integrated AI platform to improve all sorts of key manufacturing metrics like consistency, yield, and uptime. The AI also enables real-time quality control and self-correcting printing to keep costs down.

The third key part of Nano’s story was its ongoing acquisitions of Desktop Metal and Markforged Holding, which promised to give the company access to next-generation 3D-printing technologies.

The Desktop Metal acquisition didn’t end up working out. Instead of integrating the company and its assets into Nano Dimension, management decided to keep everything separate and have Desktop’s board file for Chapter 11 bankruptcy protection, so its significant liabilities didn’t hit Nano’s balance sheet.

The good news is that the Markforged integration is progressing as planned—bringing its innovative platform, The Digital Forge, under Nano’s roof. The Digital Forge combines 3D printers, proprietary metal and composite materials, and cloud-based software to enable industrial production at the point of need on the factory floor.

In other words, it allows manufacturing companies to quickly 3D print replacement parts (typically in hours) right on the factory floor to keep production running smoothly with minimal downtime.

If a machine breaks down—like a gear failing on a production line—the team can scan or design the broken part digitally, load it into the software, and hit “print.” The printer creates a strong, exact match using durable materials that hold up in real factory conditions.

It’s like having a mini-factory in your factory that fixes problems fast, boosts flexibility, and reinforces supply chains.

All that said, we have Nano Dimension marked as a “Hold” for now because the company’s board is currently reviewing “strategic alternatives to maximize shareholder value.”

That often means the company is exploring a sale or merger. While that’s not always the case, we want some color on what the plans are before we move NNDM back to a “Buy” in the portfolio.

As I write, we’re up about 8% on our one-half position in NNDM.

Action to take: Continue to hold Nano Dimension (NNDM).

SiTime provides the precision timing technology that conducts the digital symphonies constantly being played inside electronic devices.

Timing tech is the unsung hero inside our electronic devices. It operates silently behind the scenes to provide the heartbeat all digital systems march to. And it enables amazing things like global communications, autonomous vehicles, and reliable space missions.

Quartz crystal has been the undisputed king of timing for decades. But as we push into areas like AI supercomputing, 5G/6G communications, and autonomous vehicles and robots, quartz can't cut it anymore.

That's where SiTime's silicon-based timing devices come in. They're manufactured in standard semiconductor fabs and can be made much smaller, more resilient, and less power hungry than quartz devices. So they can stand up to the demands of today's cutting-edge applications.

The company designs a whole "toolbox" of silicon timekeeper chips, which are manufactured by its partners. Some are tiny, self-contained "ticking" devices. Others are like music producers that copy, distribute, filter, and clean those "ticks" so every chip in a smartphone, autonomous vehicle, or AI data center server agrees on the exact same beat.

As I write, we're up about 45% on SITM. That's thanks to the great results SiTime reported for the second quarter, including:

- Total year-over-year revenue growth of 58.4%.
- 137% year-over-year revenue growth in the AI data center segment.
- CEO Rajesh Vashist's comments about continued near-term growth: "As we move into the second half of 2025, we anticipate sequential revenue growth in each of Q3 and Q4, supported by a strong demand in AI infrastructure and continued momentum across markets. This is the second consecutive year where we expect to grow revenue by at least 40%."

We currently have SITM marked as a "Buy" up to \$260 per share, which is a bit below where the stock is currently trading. So if you're new to this service, we recommend waiting for a pullback before buying SITM. But it's your call.

Action to take: Buy SiTime (SITM) up to \$260 per share and set a 75% hard stop.

Now, it's time for our "Best Buys"...

October's "Best Buys"

Tempus AI (TEM)

Tempus developed an AI-powered platform that frees medical data from its shackles and an operating system to make it useful.

The platform allows Tempus to bring AI into medicine in ways that have never been possible before and make diagnostics "intelligent."

It leverages this platform across three interlocking business segments that feed each other and grow stronger with scale.

Its **Genomics** business sells diagnostic tests that read patients' genetic information (DNA/RNA) to guide their care.

For example, if a patient has cancer, doctors can send a small piece of tumor tissue to one of Tempus' three state-of-the-art labs. There, the company sequences the tumor's DNA to identify the mutations (genetic changes) driving the cancer.

Based on those findings, Tempus provides doctors with a detailed genomic report that includes AI-informed insights about which treatments might work best or which clinical trials the patient could join.

It's like reading the tumor's instruction manual and then using an all-knowing AI advisor to recommend the most effective tools (drugs or other treatment modalities) for that specific cancer.

Tempus offers several other tests—like its xF liquid biopsy—which can detect tiny amounts of cancer DNA in patients' blood to tell doctors things like the specific mutations driving tumor growth, whether the cancer has undergone changes that make it more resistant to certain treatments, or if the cancer is showing signs of metastasis (spreading throughout the body).

The company's **Data & Services** business turns Tempus's ever-growing data advantage into a powerful, high-margin, recurring revenue stream by licensing that data to drug companies and other healthcare organizations for hefty fees to help them discover and develop new drugs and find patients for their clinical trials.

Tempus's **AI Applications** business takes everything it's learned and puts it directly in doctors' hands through tools like Tempus One, which is like a medical Siri or Alexa that understands natural language queries but is trained on proprietary healthcare data.

If Tempus' Genomics business is about generating data and its Data & Services business is about sharing data, the company's AI Applications business is about actively using that data and AI to deliver insights and improve workflows for doctors and researchers.

We just recommended Tempus two months ago, but we've already seen some notable progress since then, including:

- Northwestern Medicine became the first health system to integrate Tempus's generative AI co-pilot David into its electronic health record platform. This integration will give Northwestern real-time AI-enabled insights at every point of care to streamline complex treatment decisions, reduce administrative burden, and ultimately improve patient outcomes.
- Tempus received 510(k) clearance from the FDA—which allows the marketing and sale of a medical device—for its updated Tempus Pixel, an AI-powered cardiac imaging software platform that enhances medical imaging by rapidly analyzing scans, highlighting subtle abnormalities, and generating consistent actionable insight to improve patient care.
- Tempus also received 510(k) clearance from the FDA for its RNA-based Tempus xR IVD. This new test will allow Tempus's customers to more precisely identify which patients are most likely to respond to specific therapies and design more efficient clinical trials.

As I write, we're up about 20% on TEM. It's a "Buy" at current market prices.

Action to take: Buy one-half of a position in Tempus AI (TEM) at current market prices. Wait for future guidance to buy more and to set a stop. We plan on buying our second half when we have some clarity about how the ongoing legal battle with Guardant Health (GH) might shake out.

TEM has so much long-term potential, and I think it can eventually hit a trillion-dollar market cap. I don't say that lightly. [Read our report here for more on TEM if you haven't already.](#)

Evolv Technologies (EVLV)

Evolv's patented technology takes the "slow" out of "security" while *improving* public safety at the same time.

As you know, the traditional metal detectors you see at stadiums and other venues where large crowds gather can only process people one at a time—after they empty their pockets—creating frustrating lines.

They also can't tell a weapon apart from everyday metal items. So they generate constant false alarms—beeping at phones, keys, belt buckles, etc.—that result in hand-wanding, pat-downs, and bag searches.

This labor-intensive, time-consuming, and intrusive approach to security is often impractical for places like schools, theaters, workplaces, or theme parks, where you can't treat visitors like airport passengers every day.

As a result, many venues that *need* better security have avoided using legacy metal detectors at all.

Evolv Express is the breakthrough solution to this problem.

It's a new kind of walk-through scanner—resembling a sleek pair of free-standing gate-like pillars—that uses a combination of advanced sensors and AI to detect hidden weapons while people simply walk by at normal speed. There's no need to empty pockets or take off bags.

Using a mix of electromagnetic technology and computer vision, the system's sensors gather thousands of data points on each person. Its AI brain then instantly distinguishes true weapon threats like guns, improvised explosive devices, or tactical knives from harmless personal items like cell phones and keys.

It's smart enough to ignore your phone but flag a gun—even if concealed in a purse or jacket—by recognizing the specific shape, density, and other signatures of weapons.

When the system detects a potential threat, it immediately alerts security staff with an automated image from an integrated camera highlighting exactly where the suspicious object is on the person—for example, a red box around a pocket or bag in the live image.

That way, guards know *who* to check and *where*, avoiding random pat-downs. If no threat is found, folks just continue walking through at normal speed.

The effect is transformative. At venues using Evolv Express, you'll see crowds moving along as if there were no security checkpoint at all. Only occasionally will you see someone pulled aside when the system spots something genuinely concerning.

Put simply, Evolv's technology makes security screening almost invisible while improving threat detection. Its Evolv Express is an intelligent device that runs the company's AI and connects to its cloud for updates and analytics. So whether a unit is leased or purchased, the company generates recurring SaaS-like revenue from software licenses.

Meanwhile, Evolv keeps innovating. In the fourth quarter of 2024, it introduced a new product called **Evolve eXpedite**, an autonomous, AI-powered, high-speed X-ray bag scanner that pairs with Evolv Express for venues where most visitors bring bags.

As I write, we're up about 6% on EVLV. We just recommended the stock last month and nothing has changed yet, but we'll get to see the company's third-quarter results on November 13.

Action to take: Buy Evolv Technologies Holdings (EVLV) at current market prices and set a 75% hard stop.

Digi Power X (DGXX)

Digi Power X is in the process of pivoting from a crypto miner to an AI infrastructure provider.

The business model is simple: Instead of companies buying and setting up their own infrastructure to run AI workloads—like GPU servers, cooling systems, and electricity—Digi puts it all together to rent out “slices” of computing power to customers who need it for AI or other high-performance computing applications.

Digi is leveraging the assets it acquired for crypto mining to make this pivot into AI and scale faster and more efficiently than others.

See, Digi owns its own power plant in upstate New York that’s already feeding its operations. It also owns transformers, substations, and has dedicated power capacity at all four of its 100% owned sites in New York, Alabama, and North Carolina.

This is like owning the utility company for your data centers. It’s a huge edge in an industry where electricity costs and reliability are arguably the most critical factors.

Digi can use all its power infrastructure assets to ensure its data centers have the capacity and low-cost, reliable energy they need to quickly shift into AI.

If other miners try to make the same pivot, they must engage in lengthy contract negotiations and sign costly leases.

What’s more, asset ownership adds collateral value. So Digi can borrow against these hard assets to finance growth, typically on better terms than a company with just rented facilities.

Overall, Digi’s ownership of all these power infrastructure assets gives it more control, lower operating costs, and faster scalability as it pivots to AI.

We initially bought one-third of a full position in Digi back in late May. Then we added another one-third in mid-July as the company continued executing on its plans.

The final one-third was added in early October following two announcements:

1. Digi’s wholly-owned subsidiary, US Data Centers, received Tier III certification for its flagship ARMS 200 modular AI-ready data center platform.
2. The first ARMS 200 pod is scheduled for delivery at Digi’s Columbiana, Alabama facility by the end of November 2025.

The Tier III certification means an independent third-party audit confirmed the ARMS 200 platform—engineered for high-density AI clusters starting at 1MW—meets one of the most respected global standards for providing the reliability, redundancy, and resilience required by AI, enterprise, and hyperscale customers.

This makes ARMS 200 one of the few modular AI data center platforms in the world to receive Tier III certification.

From this foundation, the company plans to expand into ARMS 500 (5MW) and ARMS 1000 (10MW) clusters. Each pod solution is designed as a modular building block within a cluster, allowing customers to scale seamlessly from 1MW to 5MW to 10MW.

Our effective entry price for our full position in Digi is \$2.63 per share. **As I write, we're up nearly 83% on DGXX.** But there's so much potential here that we're still marking the stock as a "Buy" at current market prices.

Action to take: Buy Digi Power X (DGXX) at current market prices up to \$5.00 per share and set an 80% hard stop.

Fastest-growing stocks in America

In the table below, we share 25 of the fastest-growing stocks in America that fit our *Disruption_X* size criteria.

The stocks we target have a market cap between \$200 million and \$20 billion. These stocks trade on American exchanges, but they aren't necessarily American companies.

Future recommendations may come from this list. It also gives us great insight into what's growing fast—and what's not.

Electric vehicle (EV) makers are holding their momentum, with **Lotus Technology (LOT)**, Rivian Automotive (RIVN) and **Lucid Group (LCID)** all on the board this month.

As we noted in [July](#), the EV space is crowded; specialized businesses will excel here. What's more interesting is seeing second-order companies that supply tech to EV makers now making inroads into their niches:

- **Hyllion Holdings Corp. (HYLN)** transitioned from making electric trucks to power modules—electric motors that generate electricity using heat. These electric engines can fit into more use cases than just an electric truck. This specialization is working. Hyllion has netted multi-million-dollar contracts with the US Navy for shipboard and on-base power modules, and management doubled their revenue estimates for the full year.
- **Aeva Technologies (AEVA)** and **Arbe Robotics Ltd. (ARBE)** are both helping these next-gen EVs detect obstacles and drive themselves, but through two different tech stacks. LiDAR developer Aeva reported record sales in Q2 2025 (albeit a meager \$5.5 million), and management expects revenue to double for the full year. Aeva's sensors are now used in speed-enforcement cameras, which expands the company's potential revenue base and could help it 2X sales this year.

Meanwhile, Arbe makes radar chipsets for self-driving systems. The company is shipping 340,000 chipsets to China's HiRain, which makes the driver assistance systems for Lotus. Revenue growth has been uneven in recent years as integrating Arbe's tech process varies by customer, creating lumpy quarterly results. Any revenue growth is impressive when starting from a low baseline.

- **Ads-Tec Energy PLC (ADSE)** uses batteries as a buffer for fast-charging EV stations, and it's a service revenue gold mine. Service revenue almost tripled year over year as the company grew its install base of charging stations. Using a built-in battery gives Ads-Tec more flexibility in where it can install these chargers, such as in city centers where upgrading the electric grid is expensive or simply not feasible.

Ads-Tec recently announced that it's building one of the biggest battery storage plants in the world, at 1 gigawatt of output and 2 gigawatt hours of capacity—enough backup power for about 1.1 million homes for nearly two hours.

A few other fast-growing stocks that have our attention:

Credo, our data center networking stock, continues to earn its place on the leaderboard thanks to last quarter's impressive 274% year-over-year revenue growth. As we discussed in [last month's newsletter](#), the fastest-growing AI stocks today are more than just chipmakers and GPU foundries.

Data center CapEx is shifting from pure computing power to the networking and communications tech that can move massive amounts of data efficiently. This is exactly where Credo's high-speed networking cables excel.

Credo ended the last quarter with almost half a billion dollars in cash, so it's sitting in a healthy enough cash position to fund R&D into lower-latency data cables.

The company's growth is impressive. We've already taken a "Free Ride" on the stock—and it's still early days in the AI infrastructure boom.

Quantum stock **IONQ (IONQ)** has a different interpretation of upgrading AI data center infrastructure. CEO Niccolò De Masi has gone on record to say quantum computing will work alongside pure GPU computing power in AI data centers—and eventually replace them.

In this scenario, quantum would accelerate the complex simulations AI can run at an exponential clip. Reworking the entirety of our AI architecture is an ambitious goal, but IONQ is making great strides. In the past few months, it has:

- Spent \$1.075 billion to buy Oxford Ionics's tech stack and team of in-house scientists, adding more potential for what's called "trapped ion" computing—a way to scale up quantum computing to large, data center-level capacity.
- Developed a quantum computer that can consider more than 18 quintillion different possibilities at once—a calculation powerful enough to optimize supply chains and monitor the energy grid for efficiency. No other quantum computer has reached this milestone.
- Laid the groundwork for a "quantum internet" by sending the quantum computing data over the same long-distance fiber optic connections used by regular telecoms. This is a crucial first step to building out a network of quantum computers around the world that can talk to each other.

IONQ's tech achievements are world-class, but the stock has shot up 79% just in the past two months, putting IONQ well into "overvalued" territory. Even its impressive 173.5% quarter-over-quarter revenue growth may not be enough to justify current prices.

Finally, **SoundHound AI (SOUN)** may be one of the first crop of what we call "AI native" stocks—businesses that simply could not exist without AI. Think about how Google could not exist without the invention of the internet.

SoundHound has used AI audio processing since its initial days as a song-recognition app—well before the 2020s AI boom even began. Now, it's using AI to make voice assistants for customer service clients, such as phone helplines and voice-activated drive-throughs.

Expanding from a pure mobile app to a broader AI voice assistant market has been successful for SoundHound. The company reported record-high revenue in its most recent quarter—a year-over-year increase of 217%.

Fastest-growing stocks in America						
Rank	Ticker	Name	Description	Market Cap (\$M)	Stock Price	Revenue Growth
1	QXO	QXO Inc	Roofing products	\$5,728	\$13.99	4791%
2	HYLN	Hyllion Holdings Corp.	Electric truck parts	\$412	\$2.37	3000%
3	IMMR	Immersion Corporation	Haptic software	\$279	\$8.63	2164%
4	NBIS	Nebius Group N.V.	GPU clusters	\$7,199	\$36.04	241%
5	POET	POET Technologies Inc.	Photonics	\$350	\$4.95	179%
6	EH	EHang Holdings Limited	Chinese drones	\$978	\$15.55	165%
7	STLA	Stellantis N.V.	Car manufacturing	\$37,138	\$12.88	164%
8	ASTS	AST SpaceMobile, Inc.	Space broadband	\$6,021	\$20.78	156%
9	CRDO	Credo Technology Group Holding Ltd	Data infrastructure	\$13,383	\$80.02	124%
10	FUN	Six Flags Entertainment Corporation	Amusement parks	\$4,450	\$44.38	118%
11	IONQ	IonQ, Inc.	Quantum computing	\$8,416	\$38.89	110%
12	SW	Smurfit Westrock Plc	Paper packaging	\$27,548	\$52.96	107%

Fastest-growing stocks in America						
Rank	Ticker	Name	Description	Market Cap (\$M)	Stock Price	Revenue Growth
13	SOUN	SoundHound AI, Inc.	AI audio and voice	\$5,043	\$13.64	103%
14	EOSE	Eos Energy Enterprises, Inc.	Energy storage	\$1,312	\$6.02	96%
15	LOT	Lotus Technology Inc. American Depositary Shares	Luxury EV maker	\$2,350	\$3.47	96%
16	ADSE	ADS-TEC Energy PLC	Fast-charging EV stations	\$804	\$15.61	92%
17	MAGN	Magnera Corp.	Films and laminates	\$639	\$18.07	92%
18	AEVA	Aeva Technologies, Inc.	LIDAR	\$240	\$4.45	79%
19	CLSK	CleanSpark, Inc.	Bitcoin miner	\$3,473	\$11.87	75%
20	INOD	Innodata Inc.	AI data services	\$1,067	\$36.78	74%
21	ARBE	Arbe Robotics Ltd.	Radar for self-driving cars	\$263	\$2.76	74%
22	RIVN	Rivian Automotive, Inc.	EV maker	\$14,393	\$14.21	72%
23	MAX	MediaAlpha, Inc.	Insurance customer acquisition	\$743	\$11.14	71%
24	ODD	Oddity Tech Ltd.	Beauty and wellness	\$2,563	\$44.87	68%
25	LCID	Lucid Group, Inc.	EV maker	\$9,246	\$3.07	67%

For the most up-to-date guidance on our current positions, [click here](#) to view the portfolio online.

Chris Wood Stephen McBride

Chris Wood and Stephen McBride

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